

-
-
-
-
-

Chapter 8

Drinks Purchase Management

Overview



Introduction

As price and variety continues to increase in the marketplace, managing the procurement of goods becomes ever more important. A comprehensive purchase management system is necessary for controlling a cost effective and accurate supply of items. Drinks Purchase Management provides the necessary information and facilities in the following key areas:

- Order Creation.
- Order Follow-Up.
- Goods Receiving.
- Quality Assurance.
- Invoice Matching.
- Centralised Purchasing.
- Performance Analysis.

You tailor Drinks Purchase Management to your company's specific requirements using profile and parameter files. The module is multi-company and multi-currency.

Relationship to Other Modules

The module is designed to be used in conjunction with the following modules:

- Drinks Inventory Management.
- Accounts Payable.
- Cobwebb.
- Drinks Requisitioning.
- Drinks Warehousing.
- World Trade.

The company profile is used to identify which modules are interfaced.

Pre Requisites

For the basic operation of the Drinks Purchase Management module, the System Manager, Accounts Payable, General Ledger and Drinks Inventory Management are pre-requisites.

If Purchase Orders are to be sent directly to the Supplier via a Facsimile transmission, then the Cobwebb Fax module is a pre-requisite. This handles the actual transmission of the fax, once it has been created via Drinks Purchase Management, and is available from your software support organisation.

It is advisable to review the Implementation sections of the Drinks Inventory Management and Accounts Payable Product Information prior to implementing this module.

Drinks Inventory Management

Before using Drinks Purchase Management Drinks Inventory Management must be installed.

Drinks Purchase Management uses the Drinks Inventory Management Item Master file to specify items, and Drinks Inventory Management stockrooms to locate them.

Drinks Purchase Management writes inventory movements, and maintains actual cost details in the Drinks Inventory Management module.

All items and stockrooms to be included in Drinks Purchase Management must be defined to Drinks Inventory Management.

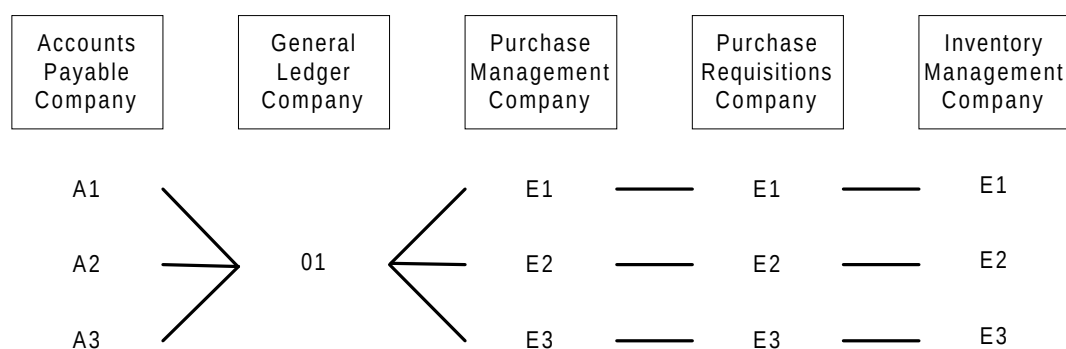
When an order is confirmed in Drinks Purchase Management, the on-order stock figure is updated in Drinks Inventory.

When a receipt or transfer into stores is made in Drinks Purchase Management the on order stock figure is reduced and the physical stock updated by the same quantity in Drinks Inventory.

General Ledger and Accounts Payable

The Drinks Purchase Management module is fully integrated, on-line, with Accounts Payable. Drinks Purchase Management gains access to the Accounts Payable master files via the General Ledger.

For example:



In this example, anyone working in Drinks Purchase Management companies E1, E2 or E3 would be able to raise orders on any suppliers in Accounts Payable companies A1, A2 or A3.



Note: The company code used in Drinks Requisitioning and Drinks Inventory Management must be the same as that used in Drinks Purchase Management.

Supplier information such as supplier code and address are picked up from the Accounts Payable Supplier Master file.



Note: If a Drinks Purchase Management company is linked to several Accounts Payable companies, the supplier references must be unique across all the Accounts Payable companies.

Multi-Currency

A Drinks Purchase Management company becomes multi-currency by being linked to a multi-currency General Ledger company.

This means that suppliers can be:

- Multi-currency, i.e. trade in any currency available to the General Ledger company
- Single currency, i.e. trade in the base currency of the General Ledger company

If invoice matching is to be used, all un-approved invoices must first be posted to the purchase ledger log. The invoices may then be matched to one or more receipts, made against orders in Drinks Purchase Management.

While matching is taking place, it is possible to flag the invoice, in Accounts Payable, with the department who are holding it for approval.

An option is available in Accounts Payable to run a report, listing all the invoices currently on the ledger and matched with receipts in Drinks Purchase Management. These matched (approved) invoices can then be posted to the ledger using the appropriate Accounts Payable option.

Drinks Requisitioning

Drinks Purchase Management is fully integrated with Drinks Requisitioning. The Drinks Requisitioning company profile details are set up in the Drinks Purchase Management company profile.

The Drinks Requisitioning module shares master file data with and creates order details in the Drinks Purchase Management module.

Drinks Requisitioning gets item information and current stock balances from Drinks Inventory Management and uses these, along with the inventory re-order policies, to produce suitable purchase requisitions. These requisitions can then be converted to purchase orders and dealt with in the usual way within Drinks Purchase Management.

Purchase requisitions (and hence purchase orders) can also be produced from recommendations available in the Drinks Distribution Requirements Planning package.

Cobwebb Fax Module

Once purchase orders have been confirmed, they can be sent directly to the supplier via a facsimile transmission. To do this the Cobwebb Fax Module must be attached to the system.

Warehousing

Drinks Purchase Management performs internal checks to determine:

- If the Warehousing module is installed.
- If the Company / Stockroom being processed is defined to Warehousing.

If these conditions apply, when goods are received or transferred into stores a window is displayed for Warehousing information to be entered. The goods are then automatically processed by the put-away routines in Warehousing, which decide where the goods are located.

World Trade

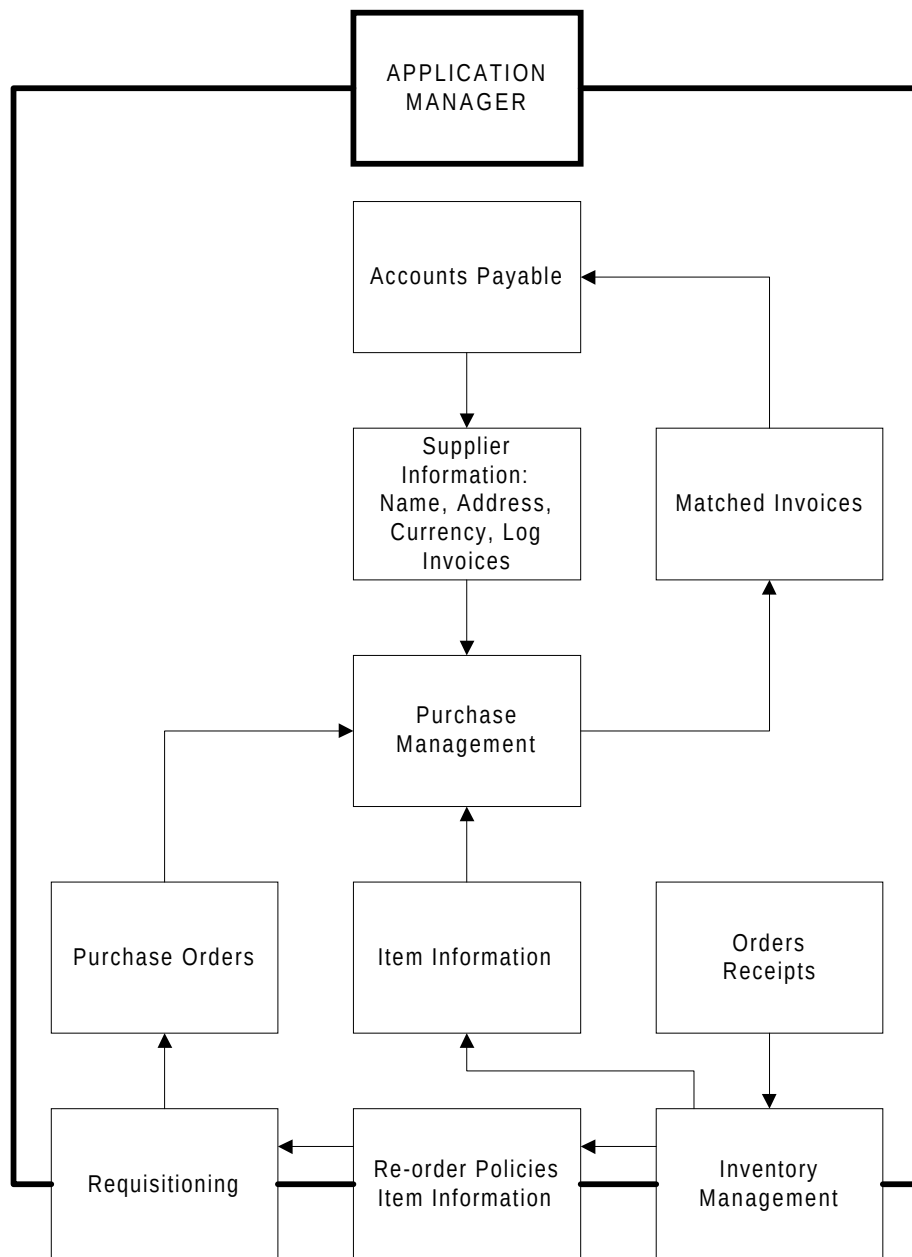
Drinks Purchase Management performs internal checks to determine:

- If the World Trade module is installed.
- If Intrastat reporting is required for the trading partners.

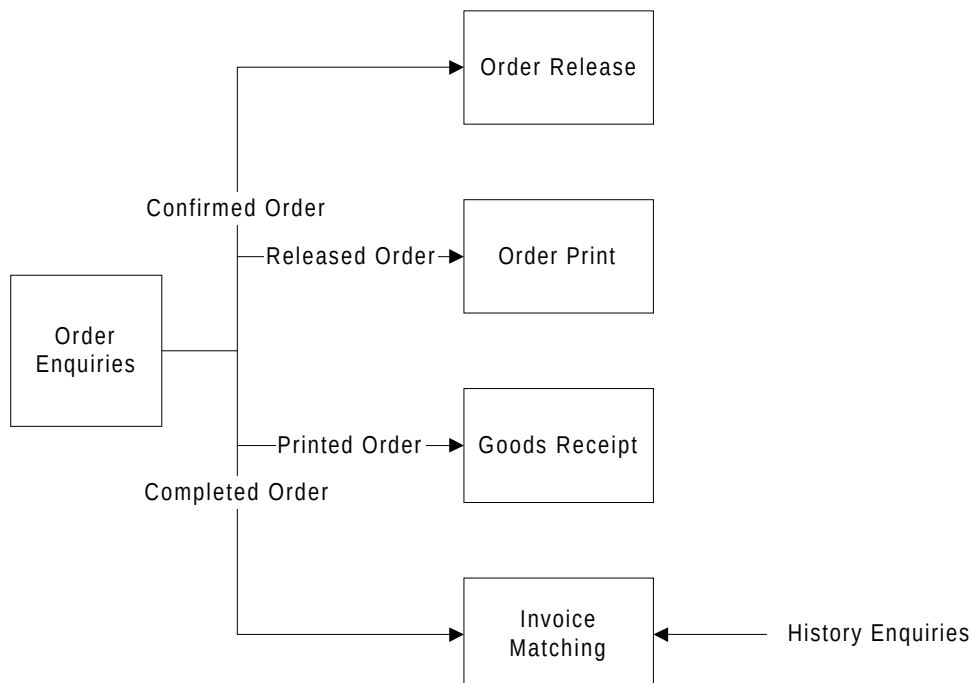
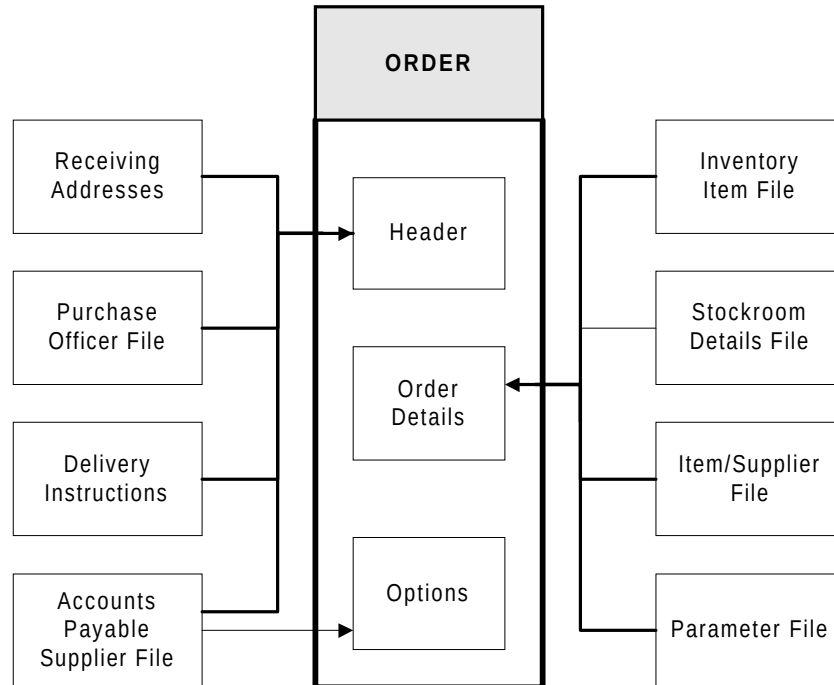
If these conditions apply, when goods are received or returned, a 'Mode of Transport' field is displayed, which specifies how the goods are moved.

These receipt and return transactions will call the World Trade programs, which create EC movements records. These will be used in the World Trade reporting routines. When performing invoice matching the EC movement records are updated.

Feature Integration



Drinks Purchase Management Interfaces



Configuration

As with all modules, Drinks Purchase Management can be operated for a number of companies, the characteristics of each being maintained on the company profile.

The primary information maintained on the company profile is used to:

- Improve efficiency of data entry.
- Provide the parameters for the generation of document references.
- Provide specification of the technical environment.
- Enable set up of ranges for data integrity checking.

This primary information consists of:

- Company name, address, phone and fax.
- Default supplier address code.
- Default receiving address code.
- Default currency rate codes for orders, receipts and invoices.
- Output queues for reports, orders, GRNs / labels and rejection notes.
- Interfaces to other modules.
- Order numbering.
- Goods receipt note (GRN) numbering.
- Rejection note numbering.
- Purchasing officer number range.
- Requisitions options (where Drinks Requisitioning is installed).
- Default goods receiving booking-in-point.
- Receipt time fence number of days.
- Dummy items (for delivery instructions).
- Dummy supplier (for receiving addresses).

Implementation Procedure

After installing the software, the recommended steps for implementing Drinks Purchase Management are outlined below:

- Define company profile options.
- Create company profile.
- Define parameter and sundry codes file.
 - Design the units of measure table (using 'UOMC' and 'GUMC' parameters)
 - Define stockroom codes (for non-stock orders)
 - Define order classifications
 - Define schedule order types
 - Define scrap reason codes
 - Define user controlled fields for order entry
- Create parameter and sundry codes.
- Define user authority values, authoriser and default stockrooms.
- Define and create currency rates (unless these have already been set up in the General Ledger).
- Create purchasing officer definitions.
- Create item/supplier profiles. These may also be created at the time of order entry.
- Define and create delivery instructions sets.
- Define and create receiving addresses.
- Optionally create extended purchase text for:
 - Items only
 - Items/Suppliers
 - Suppliers Only
- Optionally set up:
 - Supplier fax numbers
 - Landed cost codes
 - Stockroom defaults

Operational Considerations

- Company Profile decisions.
 - Numbering system
 - Interfaces
 - GRN printing
- Setting of User Authority levels for each user profile.
 - Authority value
 - Authorisation Chain
 - Default stockroom
- System Maintenance.
 - Who does it?
 - How often?
 - When?
- Raising Orders.
 - Standard uses of memo fields
 - Limit on number of items per order?
 - Standard use of text
 - Establish order print routine
 - Use of order flags?
 - Order print layout
- Order Amendments.
 - Use for updates and corrections?
 - Flags for acknowledgements?
 - Update delivery dates?
 - Who does amendments and when?
- Goods Receiving.
 - Use of goods inwards and inspection?
 - What happens if no order number can be found?
 - Use of GRN notes and/or labels?
 - Over receipts allowed?
- Returns and Adjustments.
 - From which locations?
 - Item scrapping?

- Use of rejection notes?
 - Return after invoice match?
- Invoice Matching.
 - Who does it and how often?
 - Allow small differences?
 - Update item/supplier profile?
- Reporting.
 - Which ones?
 - When?
 - Standard selection parameters?
- Requisitions.
 - Will requisitions be used?
 - How often will requisitions be created?
 - From which modules will they be created?
 - Print all reports?
 - Use flags?
 - Conversion to orders?
- User Notes.
 - Prepare user notes on the system as you want to use it.
- Utilities.
 - Who is allowed to use them?
 - When should validations be run?

Maintenance of Reference Data

Drinks Purchase Management uses master file data set up in other Drinks modules. However, there are some master files which are set up specifically for the module.

Information for the following may be maintained:

- Parameters and sundry codes.
- User IDs.
- Purchasing officer names.
- Requisition authorisation.
- Item/supplier profiles.
- Delivery instructions.
- Receiving addresses.
- Supplier external text.
- Supplier fax numbers.
- User authority parameters.
- Landed cost codes.
- Stockroom defaults.

Parameters & Sundry Codes

A number of parameters should be maintained for each company. These are used to control the module and to tailor it to the company's requirements. These parameters include:

- Group unit of measure codes.
- Unit of measure codes.
- Order classifications.
- Scrap reason codes.
- Schedule order types.
- User defined fields.

User IDs

Details are held on the Inventory Descriptions file of each User that is allowed to enter or authorise orders. Against each User ID a Purchasing Officer number is specified.

Purchasing Officer Names

Detail is held of the company's officers and/or planners who use this module. This is then recorded against each order, and is displayed on the module's enquiries.

Requisition Authorisation

Limit values are established for each user to control the maximum value of an individual order, and the total amount that can be spent in any one month. Against each requisitioner, an authoriser is specified who takes responsibility for any orders which exceed the requisitioner's spend limit.

Item / Supplier Profiles

For each supplier of an item, an item/supplier profile is required. The profile includes price, ordering rules, lead time and supplier reference details.

These may be set up 'in flight' in order entry, or maintained as part of the initial data setup.

A cumulative total of orders and receipts are also maintained by the module for each item/supplier profile.

Delivery Instructions

A set of delivery instructions may be maintained for each company. Each set of instructions is identified by a three character code and comprises up to three lines of text.

The delivery instruction code can be selected at order entry, and is subsequently printed on the purchase order.

Receiving Addresses

A set of receiving addresses may be maintained for each company. Each one comprises a name, and up to five lines of address details.

The code may be selected at order entry, to specify the address to which the goods are to be sent. Otherwise, it defaults to the receiving address code set on the company profile.

Supplier External Text

For each supplier, up to 99 lines of text may be maintained. At order entry, this text can optionally be selected for printing on the order.

Supplier Fax Numbers

Fax numbers for a supplier can be maintained, to be used when a facsimile of the purchase order is to be automatically sent to the supplier.

User Authority Parameters

Access to Drinks Purchase Management procedures is controlled by the standard authorisation features of System Manager. The module does provide an additional level of user authorisation within certain procedures.

Authority levels may be set for system user profiles. These authority levels limit the ability of the user to:

- Receive an order greater than a specified value.
- Under receive an order and specify that the order is complete.
- Over receive an order.
- Match a purchase invoice at a price greater than that specified for the order.

The authority levels are set as absolute values, or as percentages of the relevant order line value.

A default stockroom is set up, to be used when this user is processing data.

Landed Cost Codes

Landed costs may be added to purchase order lines using landed cost codes.

Stockroom Defaults

Stockroom defaults can be set up for the module.

You can set up and maintain the stockroom name, stockroom address, phone/fax numbers, contact name and receiving address. Goods received note (GRN) generation, numbering and printing controls are also set up.

Processing

The normal day-to-day processing in Drinks Purchase Management can be divided into three types of tasks:

- Creating orders.
- Receiving goods.
- Matching invoices to goods received.

Creating Orders

Purchase orders can be created by two different methods:

- By generating purchase orders from requisitions via the facility in the Drinks Requisitioning module; or
- By entering the purchase order directly into the Drinks Purchase Management module via order entry.

Order Entry

The entry of a purchase order can be broken down into three stages - Header, Item lines and Options.

The following information can be specified for the order header:

Order Class

Specifies if the order is a stocked order, non-stocked or service order.

Order Type

Defines whether the order is of a normal (single delivery date per line), scheduled, or blanket type.

A 'Scheduled' order is a firm commitment with a supplier for quantities to be delivered on specified dates. Multiple deliveries are expected for each line. A 'Blanket' order is similar to a scheduled order but the commitment to quantities and dates is only provisional. It is processed in the same way as a scheduled order within this module.

Other details specified on the order header are as follows:

- Supplier.
- Supplier address.
- Order date & delivery date.
- Order number.
- Purchasing officer.
- Stockroom & delivery instruction code.
- Department.
- Shipping code.
- Discount.
- Job Number.

When adding items to the order, the standard Drinks Inventory Management search is available to identify and select the correct item.

The suppliers' item reference, units of measure, price, and discounts are defaulted for the item. However, for non-stocked orders there are no defaults for price or units.

The following options are available when completing each order:

- Enter further orders or return to the menu.
- Print the order.
- Use existing external supplier text or not.
- Add new text for printing on the order, i.e. external text.
- Add new text for display only, i.e. internal text.
- Cancel the whole order.

Full amendment facilities are available on outstanding orders, and an audit trail is provided of amendments made.

Receiving Goods

All purchases received must be covered by a purchase order.

To enable the correct purchase order to be processed, all outstanding orders by item or supplier can be viewed. Furthermore, if the item code and supplier code are unknown, searches are available for these. Obviously, the purchase order number may be entered directly, if known.

Goods may be received in up to three locations:

- Goods inwards.
- Inspection.
- Stores.



Note: Only the stores option is available in a bonded stockroom.

Items may be subsequently moved from their original receipt location using the Transfer Goods Location option in this module.

For stock items, Drinks Inventory Management is only updated when receipt (or transfer) is made to stores.

In recording the receipt, the whole order may be received in its entirety, except for scheduled orders. Alternatively, the receipt can be done line by line, with partial and over receipts possible.

The user's authority is checked before under/over delivery can be accepted.

When goods are received in Drinks Purchase Management, they are valued in Drinks Inventory Management at the order price, since no invoice price is available at this stage. The invoice is usually matched at a later date and valued in the General Ledger account at the invoice price. If the order price is amended at invoice matching, an additional dissection is created for the price variance, thus reconciling the General Ledger stock account and the inventory value. The General Ledger code used for this is the price variance code taken from the item file in Drinks Inventory Management.

The dissections created during invoice matching overwrite any purchase log goods value dissections already entered.

Facilities are provided for the entry of batch, lot and serial numbers and header details.

Both internal order and order line text may be updated at the receiving stage.

The Goods Receipt Note (GRN) may be printed along with labels if required. GRN numbers may be automatically generated. These GRN options are specified on the company profile.

Once the goods have been received, the following facilities within this module can be used:

- Transfer of goods into or out of inspection.
- Return of unwanted goods, with optional replacement.

- Scrapping of faulty goods, with analysis by reason codes.
- Optional creation of rejection notes.
- Maintenance of landed costs.

Invoice Matching

Invoice matching is designed to 'close the loop' between the Accounts Payable module and Drinks Purchase Management by providing matching of receipts with invoices or credit notes on the Accounts Payable log.

The Invoice Matching routine performs two basic functions:

Receipts within Drinks Purchase Management are 'flagged' as having been matched with invoices. The pricing details are stored in Drinks Purchase Management for future analysis in the supplier performance and price variance reports.

Invoice Log records in Accounts Payable are flagged as matched, and dissections to the appropriate nominal codes are set up.

Invoices, credit notes and journals on the invoice log may be matched against any number of advice notes and parts of advice notes.

A report of outstanding advice notes by supplier is available to assist invoice matching.

Once invoices have been matched, there is a separate facility in Accounts Payable which must be used to transfer the invoice from the log to the Accounts Payable proper. A report of matched invoices (on the invoice log) is available to trigger release of these invoices into Accounts Payable.

Text may be entered, reviewed and amended against the invoice reference at the time of matching.

An audit trail of invoices matched may be printed if required.

Where the Invoice Log is not in use, receipts within Drinks Purchase Management may be matched using the "stand-alone" matching procedure. This procedure is similar to standard matching, but involves no interface to the Accounts Payable log.

Enquiries

Enquiries may be grouped into four categories:

- Outstanding order searches.
- Order details.
- Sources of supply.
- Financial.

Outstanding Order Searches

Multiple 'routes' are provided for identifying an outstanding purchase. Enquiries exist by:

- Item.
- Supplier.
- Cost code.
- Job number.
- Supplier item reference.
- Purchasing officer.

Order Details

Once the relevant purchase order has been identified, an enquiry exists to display details of that order. Each line can then be selected to show receipts to date along with other line details.

Sources of Supply

Enquiries are available to satisfy these questions:

'Which suppliers supply this item?'

'Which items have been bought from this supplier?'

These enquiries are known as 'Where bought?' and 'What bought?', respectively.

Financial

An enquiry exists to display the details of an invoice, including the value matched and matched receipt details. You may also enquire on landed costs for an order.

Reports

As part of the policy of Drinks modules, before a report is run, selection and sequencing parameters are normally available.

In general, standard reports are printed on standard listing paper with 132 print positions and six lines to the inch. In Drinks Purchase Management, the printing of orders, goods receipt notes and labels are made on special stationery.

The reports in Drinks Purchase Management can be grouped into one of the following categories:

- Actions.
- Status.
- Analysis.
- Audits.
- File Lists.
- Exceptions.

Actions

These reports are used to trigger actions to be taken, and are necessary to progress an order through the module:

- Release and Print orders.
- Print GRN's/labels.

Status Reports

These show the current position of purchase orders within the module:

- Order pre-print.
- Deliveries due.
- Order confirmation.
- Advice notes not invoiced.
- Accruals (receipts not invoiced).

Analysis

Selective views of purchasing activity and performance are provided by the following reports:

- Receipts and returns.
- Goods value by location.
- Price variance.
- Supplier performance.
- What bought.
- Where bought.

- Order value by cost code.
- Landed costs by GRN and item/supplier.
- Purchase commitment.
- Overdue orders by supplier.

Audits

The following audits are provided for processing functions in Drinks Purchase Management:

- Order amendments.
- Receipts and returns.

File Lists

Full file listings may be requested for the following:

- Purchasing officers.
- Receiving addresses.
- Delivery instructions.
- Parameters and sundry codes.
- User authority values.

Exceptions

These include discrepancies within the database which may need actions to rectify.

- Item/supplier profile exception report.
- Order file exception report.

Utilities

The Drinks Purchase Management module provides a number of utilities for database reorganisation and verification. The options placed on the Utilities menu are not required for the normal day to day operations of the module.

The utilities provide the following facilities:

- Copying of company data.
- Purging and reorganisation of the database.
- Item search rebuilding.
- Supplier price update.

Installing Application Manager PTF's

Application Manager PTF's must be restored and installed as QSECOFR.



Note: To install the Application Manager PTF's the system must be in a minimum state (that is with no users or subsystems / jobs running - this is important)

Use a normal User ID to create the state then sign off and sign on as QSECOFR.

At the first screen, add in library OSLPTP1 (ADDLIB OSLPTP1 *FIRST)

Type in MNGPTF and install the PTF as normal.

Once installed, the library and PTF object can only be removed by QSECOFR. Install this PTF then sign off and sign back in as PTFOWNER for subsequent PTF's.

If the above is NOT done, PTFOWNER, being inside Application manager, will say the AM PTF is installed when it has not, as PTFOWNER is using one of the objects the PTF requires, and the system will work - but will NOT have been updated.